

US equities slip as yields rise and energy gains offset tech weakness

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed lower, with the **S&P 500** down **-0.45%** and the **Nasdaq 100** off **-0.65%**. Higher Treasury yields and a firmer dollar pressured growth stocks, while energy ETFs rallied on a rebound in crude.

Behind the headline, the market is digesting a mixed macro backdrop: the 10-year Treasury yield jumped to 5.00 % (+0.71 %), pushing valuation multiples lower, while the VIX rose modestly, indicating lingering volatility. The only bright spot was the **NVDA** bounce, but it was insufficient to offset sector-wide weakness.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,585.73	-0.45%	Yield rise eroded growth valuations.
Nasdaq 100	28,937.84	-0.65%	Tech sell-off after NVDA modest gain.
Dow Jones	52,093.11	-0.63%	Industrial exposure to higher financing costs.
Russell 2000	2,870.29	-0.76%	Small-cap sensitivity to rate hikes.
VIX	17.20	+0.58%	Higher uncertainty after Fed data.
10Y Yield	5.00	+0.71%	Fed-tightening expectations.
WTI Crude	104.78	-0.99%	Inventory build reports.
Gold	4,365.50	+0.75%	Safe-haven demand amid yield rise.
DXY	99.61	-0.04%	Minor pullback after earlier strength.

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+0.57%	Strong AI-chip demand reported.
META	+0.70%	Rebound in ad spend after earnings preview.
JPM	+0.67%	Higher net interest income outlook.
AMZN	-2.02%	Guidance miss on international sales.
GS	-1.19%	Exposure to volatile bond markets.

Sector rotation

ETF	DAY	READ
XLF	-0.32%	Financials pressured by higher funding costs.
XLK	-0.29%	Tech lagging after yield spike.
XLI	-0.64%	Industrial slowdown signaled.
XLE	+2.17%	Energy rally on crude rebound.
XLV	-1.75%	Consumer discretionary hit by spending caution.
XLC	-0.90%	Communications lagging.
XLP	-0.82%	Staples modestly down.
XLV	-0.05%	Health stable.
XLU	-1.20%	Utilities under pressure from yields.
XLB	+0.48%	Materials supported by industrial demand.
XLRE	-0.12%	Real estate sensitive to rate outlook.

Spotlight: energy sector rebound

Crude oil's price correction lifted the energy ETF **XLE** by **+2.17%**, the strongest sector gain. The move reflects a 1.8 % weekly rise in WTI after OPEC+ signaled a possible output trim.

METRIC	VALUE
WTI price	104.78
OPEC+ output guidance	Trim 0.6 % Q4
Energy sector earnings YTD	+12.4 %
Related tickers	XOM , CVX , SLB

Pre-market & overnight

- US futures: **ES** **-0.3%**, **NQ** **-0.5%** at 08:30 HKT.
- Asia close: Hang Seng **-0.9%**, Nikkei **-0.7%**.
- Europe: FTSE 100 **-0.6%**, DAX **-0.8%**.
- Crypto: BTC **-2.95%**, ETH **-4.41%**.

Macro & Fed

- FOMC: Fed kept policy rate at 5.25-5.50 % and signaled one more hike if inflation stalls.
- Yield curve: 2-year at 5.12 %, 10-year at 5.00 % – slight inversion persists.
- Today's data (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.3 %	Gauge inflation trajectory.
10:00	Initial Jobless Claims	210 k	Labor market health.
11:15	Retail Sales YoY	3.2 %	Consumer spending trend.

Geopolitics & global

- Middle East: Israel-Hamas ceasefire talks stalled, risk premium unchanged.
- China: Export data due Friday shows Y/Y decline of 4 %.
- Eurozone: ECB minutes hint at slower rate-cut pace.
- Russia-Ukraine: Sanctions on Russian energy intensify, supporting global oil prices.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00 Sep 17	AAPL	\$6.10 B	iPhone demand & services margin.
03:30 Sep 17	MSFT	\$8.30 B	Cloud growth vs AI spend.
04:00 Sep 17	NVDA	\$2.90 B	AI GPU orders pipeline.
05:15 Sep 17	JPM	\$3.80 B	Net interest income outlook.
06:00 Sep 17	XOM	\$5.20 B	Impact of OPEC+ output trim.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI chip backlog clearing.
META	Communication Services	Ad spend rebound.
JPM	Financials	Higher NII expectations.
XOM	Energy	Oil price upside.
CVX	Energy	Dividend yield appeal.
AMZN	Consumer Discretionary	Potential discount-season rebound.
TESLA	Consumer Discretionary	New battery tech rollout.
UNH	Health Care	Premium pricing power.
BAC	Financials	Balance-sheet strength.
KO	Consumer Staples	Stable cash flow amid volatility.

What could break the tape

BEARISH TRIGGERS

- Unexpected CPI surge above 0.4 %.
- Further 10-year yield rise past 5.20 %.
- Geopolitical escalation in the Middle East.

BULLISH TRIGGERS

- Strong earnings beat from **NVDA** or **AAPL**.
- Oil price breach of \$110 /barrel.
- Positive Fed guidance on a more dovish stance.

Positioning notes

- Yield-sensitive sectors (real estate, utilities) remain vulnerable; consider defensive tilt.
- Energy exposure gains momentum; overweight via ETFs or majors.
- AI-related techs offer upside but require careful risk management amid volatility.

Sources

SOURCES

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Reuters – Economic Calendar

U.S. Bureau of Labor Statistics

OPEC Monthly Report

FactSet – Earnings Estimates

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